The Economic Consequence of Democratic Resilience

The aftermath of the insurrection attempt in South Korea

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The Standard Story — and What It Misses

- Political instability is costly for finantial markets: coups, electoral surprises, regime change ⇒ lower investment, higher volatility, depressed asset prices (Grier, Grier, & Moncrieff 2025; Bernhard & Leblang 2006)
- Democratic backsliding in particular weakens institutional constraints ⇒ reduced policy predictability, higher political risk premium (Haggard & Kaufman 2021; Yoo 2025)
- **But**: what happens when an authoritarian challenge is swiftly and decisively *reversed*?
- If markets price *uncertainty* rather than instability per se, then credible resolution should generate *positive* market responses

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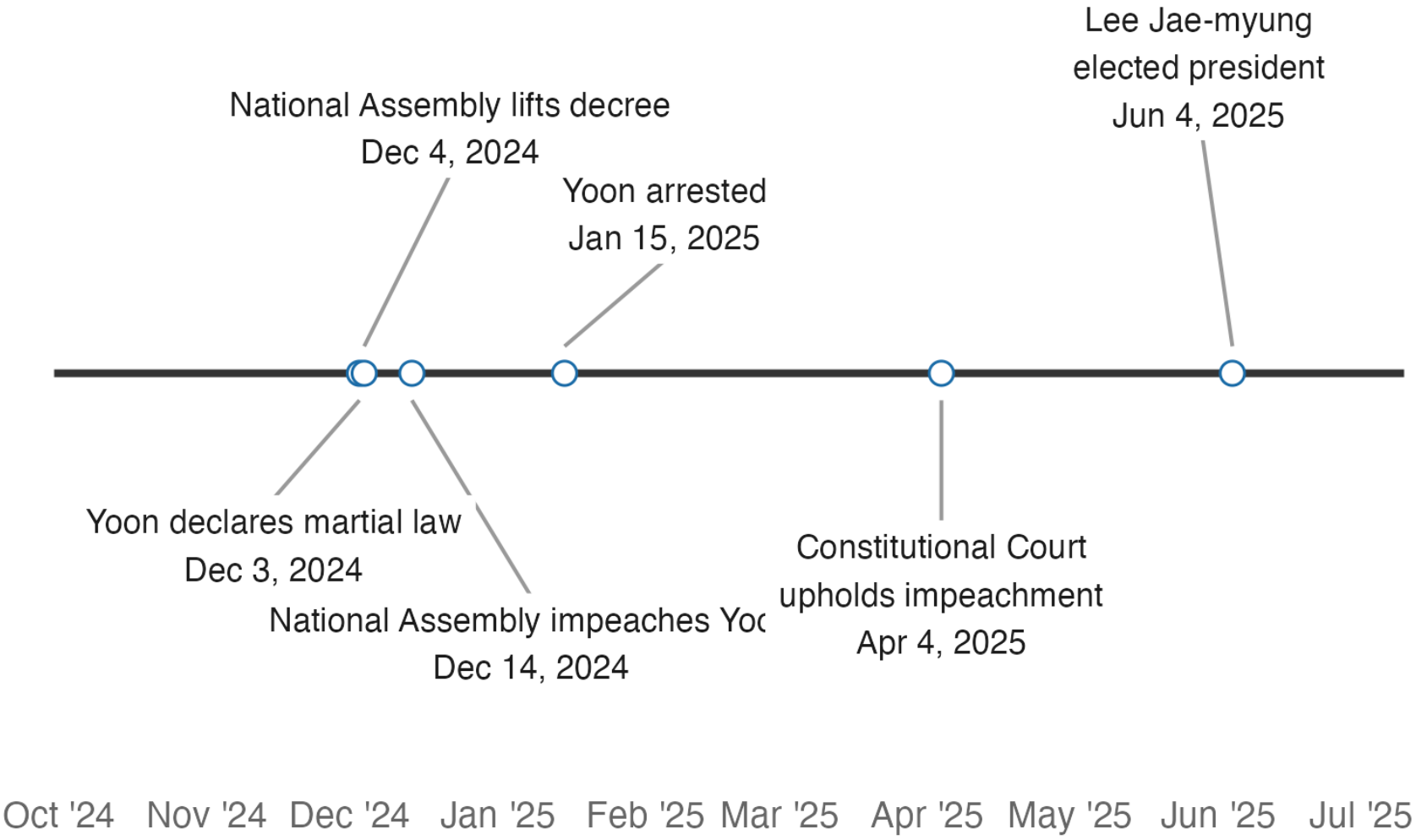
The South Korean Case



Argument: The Democratic Resilience Premium

- the 'democratic advantage' literature (Acemboglu et al. 2020; Beaulieu et al. 2012) + institutionalist literature (North 1991)
- If a crisis is resolved through credible institutional mechanisms, investors update expectations about long-run governance quality
- December 3 set in motion a **political process** — not just a shock — that permanently eliminated that premium
- Prediction: initially negative (uncertainty spike), then persistently positive (revaluation) as resolution became certain

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Hypotheses (two things to be observed)

H1: Market Revaluation (ASCM)

The political process initiated by the insurrection leads to a positive revaluation of Korean equities.

H1a: Daily News Pricing (EGARCH)

News favorable to Yoon's political survival is associated with **lower subsequent returns** and **higher volatility**.

Stock Market Data

- Outcome$_1$ (ASCM): daily **log closing price**

$$y_{it} = \ln(P_{it})$$

where P_{it} is the Yahoo Finance `Close` price for country i on day t

- Treated unit: South Korea (KOSPI Composite Index)
- Pre-treatment: March 4 – December 3, 2024 (113 trading days)
- Post-treatment: December 4, 2024 – end of sample (207 trading days)
- Donor pool (ASCM): Japan, Taiwan, Hong Kong, Singapore, China, Australia, MSCI Emerging Markets ETF
- Outcome$_2$ (EGARCH): daily **log return**

$$r_t = \ln(P_t) - \ln(P_{t-1})$$

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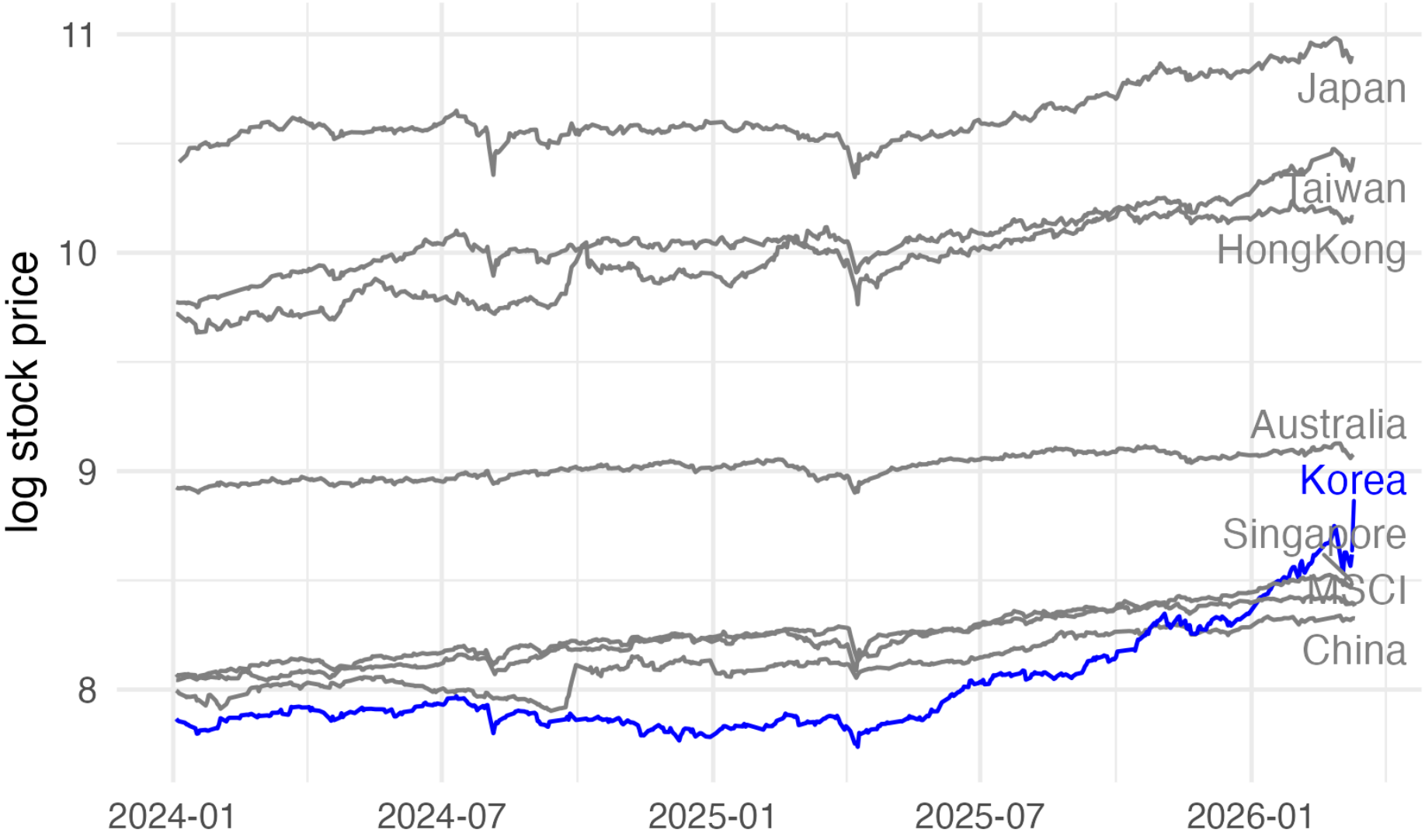
Why These Donors? The Level Problem (ASCM)



ASCM Estimator and Inference

Estimator

$$\hat{\tau}_t = y_{1t} - \left(\sum_j \hat{w}_j \, y_{jt} + \hat{m}(X_1) - \sum_j \hat{w}_j \hat{m}(X_j) \right)$$

- optimal $\lambda = 0.00395$ ($\approx$ aggressive correction)
- **Inference**: jackknife+ (Barber et al., 2021) — valid with $N_1 = 1$ by leaving out one donor at a time

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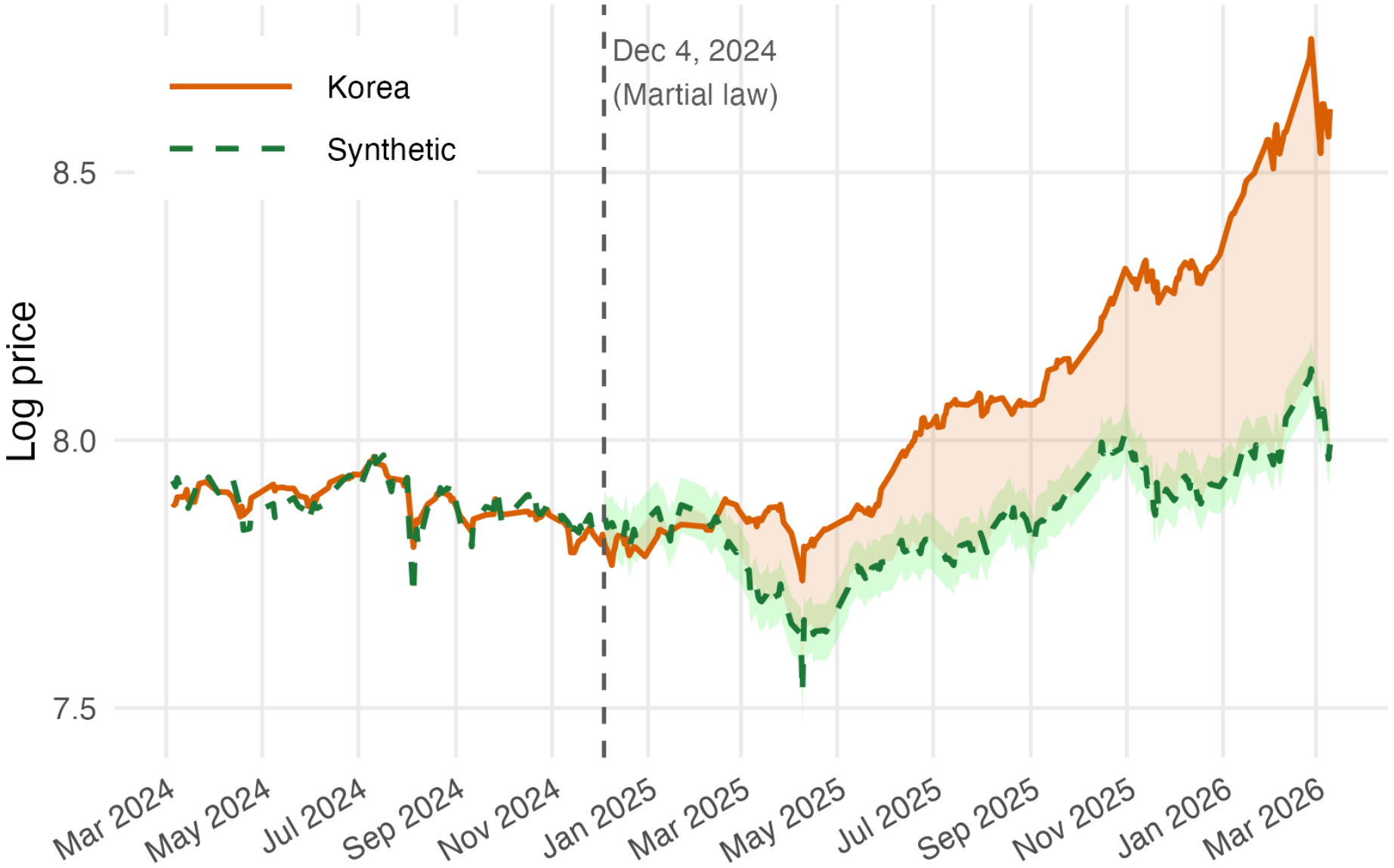
Main Result: Path Plot



Political News Data (EGARCH)

- ∼9,427 Korean- and English-language news headlines, August 2024 – March 2026
- Collected via Google News RSS API; search terms: "Yoon Suk-yeol" (and Korean equivalents)
- Sources: Hankyoreh, Joongang Ilbo, Kyunghyang Sinmun, Chosun Ilbo, Donga Ilbo, NYT, WaPo, FT
- **Classification**: OpenAI ChatGPT (v5-mini) API prompted to assign each headline to {very bad, bad, neutral, good, very good} with respect to Yoon's *political survival* – not a sentiment analysis, but a large scale qualitative coding
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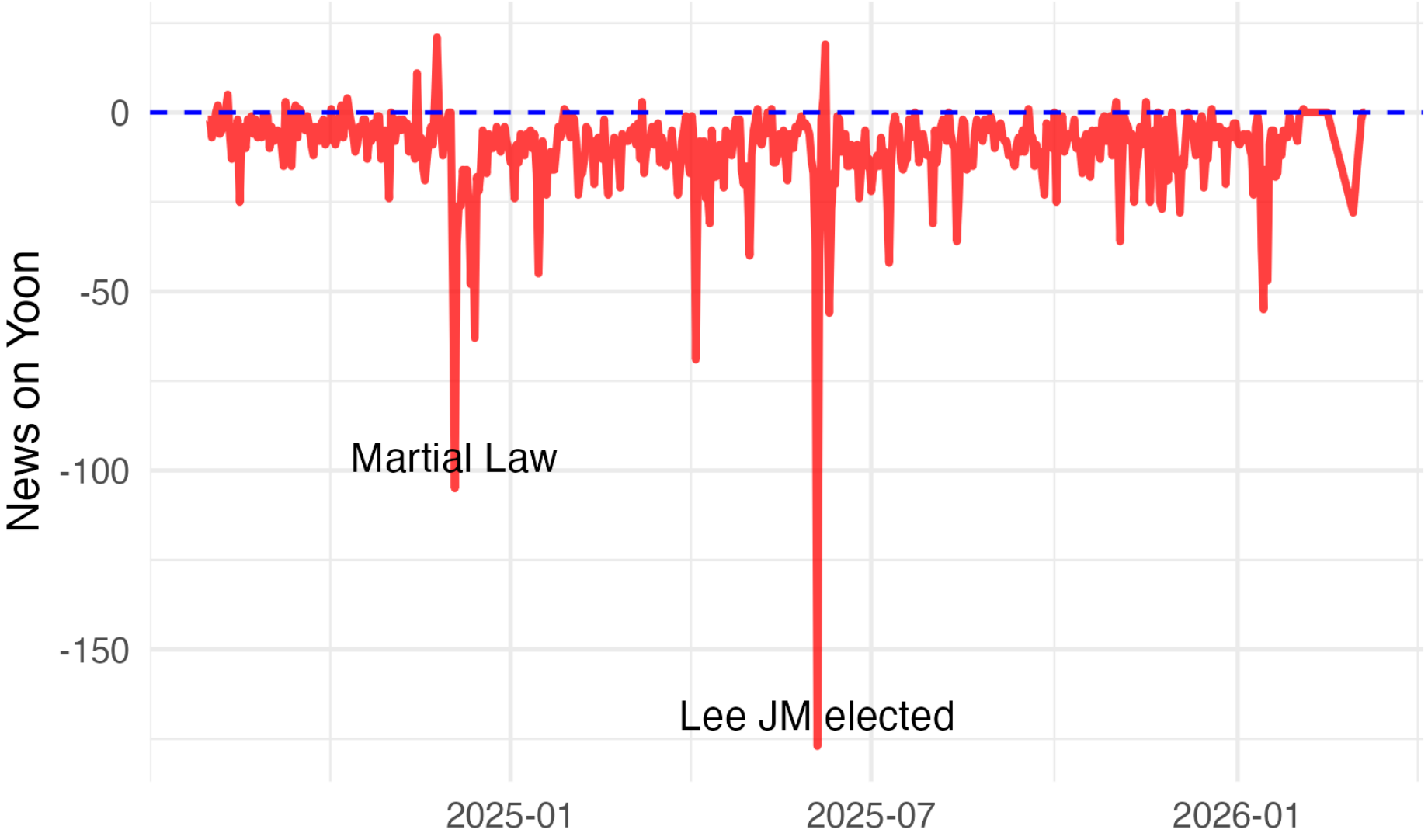

EGARCH Model

Mean equation

$$r_t = \mu + \phi_1 r_{t-1} + \delta \hat{\sigma}_t + \beta_1 \text{YoonNews}_{t-1} + \beta_2 \text{YoonNews}_t + \beta_3 \text{USUncertainty}_{t-1} +$$

Variance equation

$$\ln \sigma_t^2 = \omega + \alpha_1 \left(|z_{t-1}| - \mathbb{E}|z_{t-1}| \right) + \gamma_1 z_{t-1} + \beta_1^v \ln \sigma_{t-1}^2 + \theta_1 \text{YoonNews}_{t-1} + \theta_2 \text{Yoon}$$

- $\varepsilon_t = \sigma_t z_t$, $z_t \sim \text{std}(\nu)$
- $\gamma_1 > 0$: leverage effect (negative shocks $\uparrow$ volatility more)
- YoonNews_{t-1}: primary variable of interest (lagged — market reaction the following day)
- YoonNews_t: same-day (post-event, usually) market correction
- Robust (sandwich) standard errors throughout

EGARCH Results: Mean Equation

Parameter	Equation	Estimate	(Rob. SE)	
μ	Mean	-0.01235	(0.00129)	$***$
ar1	Mean	-0.13464	(0.03087)	$***$
archm (δ)	Mean	0.74856	(0.08823)	$***$
YoonNews_t (β_1)	Mean	$+0.00194$	(0.00028)	$***$
YoonNews_{t-1} (β_2)	Mean	-0.00036	(0.00016)	$**$
$\text{USUncertainty}_{t-1}$	Mean	-0.00065	(0.00028)	$**$

$^{***}p < 0.01$, $^{**}p < 0.05$. Robust SE.

- $\beta_2 < 0$: Yoon-favorable news depresses next-day returns — the paper's primary finding
- $\beta_1 > 0$: same-day partial correction (buy-low behavior)
- Together: sell on Yoon-favorable news, correct the following day

EGARCH Results: Variance Equation

Parameter	Equation	Estimate	(Rob. SE)	
ω	Variance	-3.5597	(0.4326)	$***$
α_1	Variance	0.2636	(0.0643)	$***$
β_1^v	Variance	0.5877	(0.0495)	$***$
γ_1 (leverage)	Variance	0.1299	(0.0408)	$***$
YoonNews$_t$ (θ_1)	Variance	-0.1259	(0.0219)	$***$
YoonNews$_{t-1}$ (θ_2)	Variance	$+0.0956$	(0.0124)	$***$
USUncertainty$_{t-1}$	Variance	-0.0304	(0.0168)	$*$
shape (ν)	Dist.	4.3695	(0.9219)	$***$

LogLik $= 1071.2$. AIC $= -5.793$.

- $\theta_2 > 0$: Yoon-favorable news *raises* next-day volatility
- $\theta_1 < 0$: same-day volatility *falls* (correction/resolution)
- $\gamma_1 > 0$: confirmed leverage effect

What the South Korean Case Shows

- Markets' reaction to politically transformative events is not simple.
- When democratic institutions contain a crisis *transparently* & *irreversibly*, investors price it in *positively*.
- The four-phase dynamic — shock, uncertainty, turning point, revaluation — emerged from the data and maps precisely onto the political timeline
- **Full-period ATT** $\approx 24\%$ — the capitalized value of removing the Yoon political risk premium
- "Markets noticed, and they rewarded it"

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Appendix: WHY Augmented Synthetic Control (ASCM)?

- Classical SCM (Abadie, Diamond, & Hainmueller 2010) requires:

$$\hat{y}_{0t} = \sum_j w_j y_{jt}, \quad w_j \geq 0, \quad \sum_j w_j = 1$$

- This requires Korea's log price to lie within the **convex hull** of donors — violated by construction (level problem)
- Result: degenerate corner solutions (100% to China, MSCI, or Taiwan) across all classical SCM specifications
- **ASCM** (Ben-Michael, Feller & Rothstein 2021) resolves this via:
  1. Unit fixed effects absorb arbitrary level differences
  2. Ridge regression bias correction adjusts for residual imbalance *without* requiring the convex hull condition
  3. Permits **negative donor weights** — necessary when counterfactual lies outside the convex hull

Appendix: Donor Weights

Country	Weight
Australia	+1.356
Japan	+0.823
Taiwan	+0.481
HongKong	+0.078
China	−0.292
MSCI	−0.646
Singapore	−0.800

Weights sum to 1.0

- Australia $> 100\%$ — extrapolation outside convex hull
- Negative weights: Singapore, MSCI, China trending upward in ways Korea was not; ridge correction subtracts them
- **Not a sign of model failure** — the mechanism by which ridge achieves pre-treatment balance
- LOO robustness: full-period ATT positive across all 7 LOO specifications

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Appendix: Pre-Treatment Fit (ASCM)

Metric	Value
RMSE	0.0233
MAE	0.0184
Bias	0.0000
SD	0.0234
Post-mean ATT	0.2427
SNR	10.4
λ	0.00395
L2 (scaled)	0.352

- Bias ≈ 0: synthetic neither overshoots nor undershoots Korea in pre-period
- RMSE of 0.023 $\approx \pm 2.3\%$ in price terms — within normal daily noise
- **SNR = 10.4**: post-treatment ATT is *10*× the pre-treatment noise level
- Moderate L2 driven by August 2024 spike (Yoon–Assembly confrontation + Yen carry trade unwind) — *consistent with* the political risk mechanism, not a violation of parallel trends

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Appendix: ATT by Post-Treatment Window

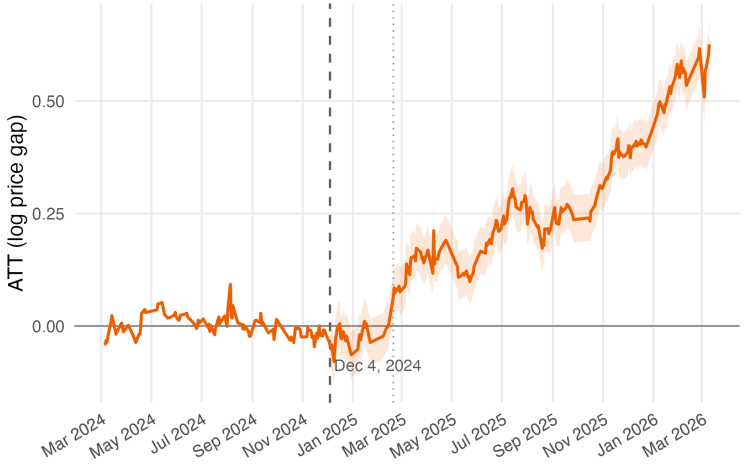
Window	N	ATT	CI lower	CI upper	
1 week (5 days)	5	−0.053	−0.104	−0.001	$*$
2 weeks (10 days)	10	−0.033	−0.085	0.018	
1 month (21 days)	21	−0.030	−0.082	0.021	
6 weeks (30 days)	30	−0.022	−0.073	0.030	
2 months (42 days)	42	0.016	−0.035	0.069	
3 months (63 days)	63	0.063	0.012	0.116	$*$
Full post-period	207	0.243	0.192	0.296	$***$

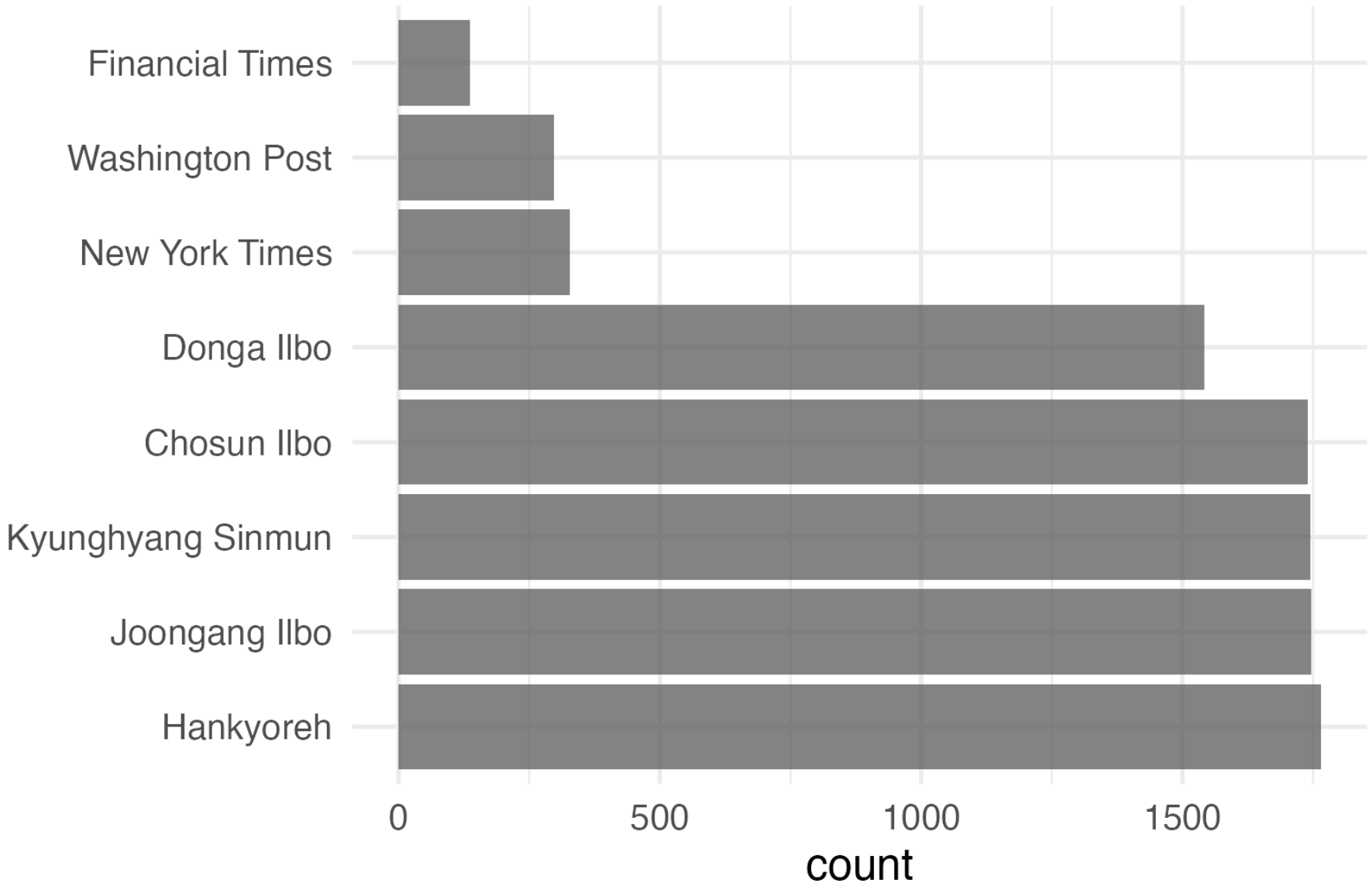
Jackknife+ 95% CI. $^{*}p < 0.05$, $^{***}p < 0.01$. ATT in log price units ($\times 100 \approx$ % impact).

- CI excludes zero on **178 of 207** post-treatment days (86%)
- Full-period ATT $\approx$ 24% cumulative revaluation

Appendix: Dynamic Treatment Effects: Four Phases

- **Shock (Week 1):** ATT $= -0.053^{*}$; Martial law $\Rightarrow$ uncertainty spike
- **Uncertainty (Weeks 2–6):** ATT ≈ -0.02 to -0.03, *insignificant*. Multiple resolution scenarios.
- **Turning point ($\sim$Month 2):** ATT $\approx +0.016$, *insignificant*. Turns positive as Yoon arrested (Jan 15).
- **Revaluation (Month 3+):** ATT $= +0.063$ to $+0.243^{***}$. First significant: February 19, 2025.



Daily ATT (gap plot) with jackknife+ 95% CI

Appendix: News Outlet Makeup